SHRIRAM PISTONS: DELHI

INLAND & FOREIGN TRAVEL RULES

1.0 Background

The TA/DA rules for Inland and Foreign travel were last revised in the year 2018. Since then lot of changes have been taken place in the travel landscape with respect to hotels and modes of travel, both within and outside the country.

A need was felt to make the Travel policy simple to understand and easy to monitor, with the sole purpose of balancing and prioritizing the employee needs and comfort in alignment with the overall business goals of the Company.

The Management feels that all business related travel should be carried out in a manner that our employees stay and travel in comfort so that their health and work efficiency is not compromised. At the same time, the policy should be comprehensive, progressive and simple to understand.

2.0 Objective

2.1 To support the travel needs of all the employees across all the units/ department and ensure the health, safety and comfort of the employees while they travel within and outside the country.

2.2 To formulate an easy to understand travel policy that is comprehensive and addresses the travel needs of all levels of employees across all grades and departments.

2.3 To simplify business travel across the organization **with automated process** and make the process efficient.

2.4 To frame a well-defined comprehensive travel policy which enable Inland and international travel.

3.0 Proposal

To fulfil SPRL's business travel requirements at competitive price with high quality of services (i.e. stay in quality hotel and hygienic food), a standardized and comprehensive Travel policy is being proposed as under.

4.0 INLAND TRAVEL

The following guidelines will be applicable to all employees across the Company.

4.1 Tour: Any outstation tour/ travel for more than 8 hours a day will be defined as an official tour and will require a tour sanction from the respective sanctioning authority.

4.2 City Classification: All cities are re-classified as A - Category and B - Category cities as per ***Annexure-I.***

4.3 Mode of Travel Applicability – Domestic Travel

Category/Level	Mode of Travel
Mktg. Manager group & Above	Air (Economy Class)/ ECC, Train 1st AC., 2nd AC., 3rdAC, Chair Car, Deluxe Bus, Volvo.
Manager – II to Sr. Manager/ Dy. Mktg. Manager level/ RM	Air (Economy Class), Train 2nd AC, 3rd AC, Chair Car, Deluxe Bus, Volvo
All others (officers/ staff/blue Collar)	Train 2ndAC, 3rdAC, Chair Car, Deluxe Bus, Volvo Bus

4.3.1 All Air Travel within the country (Domestic) for all grades of employees who are entitled for Air travel will be done in Economy class.

4.3.2 In case an employee has to undertake urgent air travel due to business exigency and /or unavailability of Train ticket, and he/she is not entitled to Air travel, he/she can do so with written approval of respective ED/Dy. ED.

4.3.3 Meal charges can be included in Airfare. If meal is not included in airfare, the same can be claimed additionally subject to maximum of Rs. 500 for domestic flights, one way.

4.4 Hotel Stay & Food Expenses:

4.4.1. Employee will arrange hotel/ travel booking on his own through Travel desk/online travel portal/ travel agency in advance as per his/ her entitlement. However, respective Administration Department will support employee for smooth travel / hotel booking.

4.4.2. It is the primary responsibility of the respective RMs/ GM, who regularly traveling to the market /other locations and frequently stay in the hotels, that they will negotiate with appropriate hotels for best hotel price and arrange yearly contract with them, so that the other SPR employees can stay in these negotiated hotels.

4.4.3. **Hotel entitlements** are applicable as per **Annexure-II** for each grade and expenses on hotels should not exceed the mentioned amount.

4.4.4. **Food expenses** shall be paid on production of bills as per the defined limits in the **Annexure –II**.

4.4.5. A fixed amount as **Incidental Allowance** shall also be paid to the touring employees on "per diem" basis as per limit defined in the **Annexure-II**.

4.4.6. Food expenses entitlement for A Category cities and B Category cities will be the same. However, following exceptions will be applicable.

i) The hotel and food expenses can be interchanged as long as the total expenses are within the capped limit (hotel & food). However, the food expenses should not exceed 50% of hotel bill (excluding GST).

ii) In case of same day return from tour, food expenses shall be paid subject to actual incurrence. However, the incidental expenses will be paid in full.

iii) In case an employee has worked for full day (8 hours & above) in a town and does not stay in hotel and therefore spends the night in journey, thereby saving the hotel expenses for the company, he will be entitled to get 50% of one day additional food expenses and 100% of one day additional incidental expenses, without submission of bills.

4.4.7 In case an employee makes personal stay arrangements (stay at friend/ relative's home) instead of opting to stay in a hotel, he/ she shall be entitled to claim full day food expenses and incidental expenses without submission of bills.

4.4.8 All employees need to submit an actual original bills of hotel stay and food expenses (unless otherwise stated) to Accounts Department and the claims will be made accordingly.

4.4.9 Incidental allowance will only be paid, incase employees attend conference/events organized by customer /vendor / third party and where boarding/ lodging is being paid by the Company or Host Company.

4.4.10 Employees are advised to stay in hotels that are GST compliant.

5.0 Tour Sanctioning Authority

Category/Level	Sanctioning Authority	Alternate Authority
Dy. ED/ ED & above	MD & CEO	
GM group personnel	ED/ Dy. ED	
Mktg. Manager & Sr. Mktg. Manager level	Dy. ED	GM Group
Assistant Manager to Sr. Manager/ Dy. Mktg. Manager level	HOD	GM Group
All Others	Departmental Manager	Sr. Manager/ RMs

6.0 Travel at Tour Destination (Within the destination City Limits)

6.1 The eligibility and the mode of conveyance for outstation travel is given below:

Grade/Level	Mode	See Note
Plant Manager & above	Taxi/ Ola/ Uber (full day)	a
Assistant Manager to Sr. Manager	Taxi/ Ola/ Uber (point to point)	b
Below Assistant Manager	3 Wheeler/ Ola bike/ Rapido bike	C

a) Plant Manager & above grade, a full day taxi /cab will be allowed where needed.

b) Assistant Manager to Sr. Manager grade, Taxi/ cab will be hired on point to point and need basis. In case full day taxi is required, approval of respective ED/Dy. ED is required.

c) For employees below Assistant Manager level, short distance travel shall be made by local bus/ metro train/ train/ three wheeler/Ola bike and Rapido bike. However in case of long distance travel (more than 100 km, to and fro) cab/ company vehicle will be allowed after approval of HOD/ reporting manager.

6.2 To minimize the cost and regulate taxi usage, employees are advised to book economy car and avoid booking a large seven seater car such as Innova.

6.3 No bills will be required for an employee whose travelling expenses are below Rs. 400/- for local travel by Auto. However, for travel by taxi such as Ola/ Uber/ Blusmart etc. bills will be required irrespective of amount.

6.4 At the first instance the Company car (in Delhi, Ghaziabad, Pathredi, Indore, Neemrana) will be used and if the car is not available, cab / taxi should be hired on reasonable /approved rates through respective Administration Department.

6.5 Employees who travel locally between Delhi/NCR / Ghaziabad/ Pathredi Plant, no food expenses and incidental expenses shall be paid. However Conveyance expenses will be paid as per subsisting conveyance rules.

7.0 Intercity Travel (From One City to Another City)

7.1 For intercity travel, the employees must travel by Train Or Volvo/ equivalent bus as the first preference. Cab shall also be allowed if 3 or more employees are travelling together in exceptional cases and the approval of respective ED/ Dy. ED shall be taken before the tour.

7.2 In case an employee is entitled to travel by Air, but opts to travel by train/ high speed train and also undertakes overnight journey, the employee can claim Rs. 750/- as **additional travel allowance**, one way, without producing any bill for the same.

7.3 Bill against loss of ticket on tour would be approved by ED/Dy. ED.

7.4 In exceptional cases, booking of Air/ Train tickets etc. through booking agent maximum upto Rs. 500/- per ticket, subject to actual incurrence, shall be paid as booking charges against production of bills/valid receipts.

7.5 It is Important that company personnel stay in hotel at the destination and in the vicinity of the business center.

8.0 Travel by Taxi (Aggregators viz OLA/ Uber/ Blusmart Taxi etc.)

8.1 Taxi for official use is to be booked through OLA/ Uber/ Blusmart etc. Administration department will facilitate the onboarding of employees for uses of app on their mobile.

8.2 The booking by employee, through "Corporate/ business profile" will be done only for official purpose. Personal booking through "corporate profile" should be avoided.

8.3 Toll Charges/State Tax shall be claimed along with the tour claim, if such expenses are paid by the employee.

8.4 However, in such cases where an OLA/ Uber/ Blusmart etc. and company vehicle is not available cab will be booked from other taxi /cab operators.

9.0 <u>INTERNATIONAL TRAVEL</u>

9.1 For International Travel, the following guidelines will be applicable. For Country classification and tour related expenses **(Hotel, Food Expenses, Local Travel and Incidental Allowance)** as mentioned in **Annexure- III** are the **maximum entitlement** for each grade and all expenses on tour should not exceed the mentioned amount.

9.2 The above expenses shall be payable at actual on submission of bills for Hotel Stay, Food Expenses and Local Travel. However, bills are not required for Incidental Allowance.

9.3 The amount for hotel and food expenses can be clubbed/ interchanged as long as the total limit (Hotel + Food) is not exceeded and bills are produced for the same.

9.4 In case an employee makes personal arrangements for stay other than a hotel or hotel is provided by customer / third party or during the conference where boarding/ lodging is borne by the company or by host company, he / she shall be entitled to claim full day food expenses and incidental allowance for the duration of stay without submission of bills.

9.5 In case of local travel abroad (i.e. uses of ferry and cab for official purposes), actual expenses shall be paid on submission of tickets/ bills subject to amount mentioned in the Annexure- III.

9.6 Intercity travel (beyond city limits) in the destination city/country should be preferably done by train, in case intercity trains are not available then taxi / flight, coach/ economy class shall be used for travel outside the city limits whichever is cheaper. However, under special circumstances, business class air travel on the total trip shall be permitted on approval, if the total travel by business class works out to be cheaper than taking coach class on local travel (intercity) abroad.

9.7 The expenses incurred on account of Airport to hotel transfer (in the destination country) and vice-versa will be covered by limit of Local travel amount per day. In case the total expenses incurred for the trip on account of airport transfer exceeds the total Local travel amount limits, the remaining will be borne by the company on production of bills and will be first charged from unspent hotel expenses and Food bills. This can be done on a complete tour basis.

9.8 For usage of mobile phone abroad, International roaming package can be activated and the payment will be made by the Company for the same for the days of travel. The activation date shall be communicated as a part of the tour plan.

10.0 Release / Surrender of Foreign Exchange

10.1 For all Foreign Travel, foreign exchange payments shall be made through Multi currency forex card (MCFC) only, which will be arranged by the Administration /Accounts department. If currency is required in cash due to any country specific issues, the special approval may be taken in tour program.

10.2 Administration department will arrange for release of exchange to touring official through forex card/ Authorized dealer. Accounts Dept. will make payment to bank/Authorized dealer towards release of exchange. Exchange would be released only 4 days prior to scheduled departure. The touring person will be responsible for safe custody/ utilization / account of forex card /exchange drawn by him.

10.3 Unutilized foreign exchange must be surrendered in Company not more than 2 days of cancellation of tour or return from tour, as the case may be.

11.0 Gifts & Entertainment Expenses

Gifts & Entertainment expenses would strictly be "need based", (will not be automatic) and as approved by the MD&CEO in each case. Purchase of gifts (with supporting bills), in foreign currency, for the purpose of presentation to business associates abroad would also be covered under entertainment expenses.

12.0 Excess Baggage and Purchase of Sample

ED / Dy. ED may approve "need based" excess Baggage for carrying trade samples, etc. Purchase of sample as and when required may be approved by MD&CEO. These would be payable against submission of bill.

13.0 Expenses In India

Following expenses shall be incurred by the touring personnel in India and the bills would be reimbursed at actuals:

a. Visa Fee and Airport Tax
b. Local conveyance i.e. residence to Airport and vice-versa Inland travel rules will be applicable
c. Health Insurance/ Travel Insurance to cover the period of the tour
d. For travel within India prior to or at the end of an overseas tour, Inland travel rules will apply.
e. Any official gifts items.
f. No other expenses would be reimbursed by the Company.

14.0 Extension/ Revision in Tour Program

In extra ordinary circumstances, if it becomes necessary to extend the foreign tour beyond the sanctioned period, a proposal to remit additional foreign exchange for extended period will be made and it shall be approved by MD & CEO and tour plan shall be revised accordingly.

15.0 Sanction of Foreign Tour and Class of Travel

Category/Level	Class of Travel	Sanction Authority
MD & CEO	Business Class/ First Class	Chairman
ED Group	Business Class	MD & CEO
GM Group	Premium Economy/ Economy Class	MD & CEO
Below GM Group	Economy Class	MD & CEO

15.1 All personnel below GM Group shall travel in economy class.

15.2 GM group is allowed to travel in Premium Economy and if the same is not available then in Economy class. However, GM group personnel can travel in business class only if the travel duration one side is more than 10 hours continuous journey and flight is direct point to point. In case where a one way journey entails the break of journey and total travel time is more than 15 hours, then business class will be allowed for the travel.

15.3 In case of International travel a minimum of 15 days Advance Tour Plan should be made and approved by the sanctioning authority.

16.0 Tour Report

Within 5 days of return from Foreign Tour, the touring personnel will submit a detailed tour report to the HOD/ ED with a copy marked to MD & CEO.

17.0 Submission of Travel Bills

Employee to submit hotel bills/ payment receipts of booking done through Travel Portal/ Travel agent along with other supporting documents to Finance & Accounts Dept. The travel bills will be submitted to Accounts department within 7 days of return from the tour with supporting documents in original, as may be required by Finance & Accounts Department.

18.0 General Guidelines – Domestic and International Travel

18.1 In case of domestic travel, it is advisable to make the tour plan minimum 7days before the tour which will facilitate the booking of flight/ hotel in advance.

18.2 Preferred seat booking shall be paid only for ED group personnel subject to maximum of Rs.600.

18.3 For domestic travel - at the time of booking/ billing of Hotel / Airline/ Bus/ Train, company's state wise GSTIN and address to be provided by the employee to claim GST credit. If GST number is not provided by employee then loss of GST credit to company will be borne by the employee.

18.4 New joinees, who are posted outside Delhi/ NCR and visit Ghaziabad/ Pathredi Plant/ Indore for their orientation etc. will stay at the Company's Guest house and food expenses, incidental allowance shall be applicable as per company rules. However, if there is no room available in the guest house, employee will stay in Hotel and all expenses such as hotel stay, food and Incidental allowance shall be applicable as per his/her entitlement.

18.5 Personnel going abroad for Training at Collaborator's Company will execute a Surety Document for serving the company for a period of 3 years from the date they re-join duty. The amount for Surety documents shall be decided on case to case basis based on actual training expenses expected to be incurred.

18.6 Due to various tax implications, Spouse travel with employees for GM group and above personnel stands withdrawn with immediate effect, however the following will be applicable only with the prior approval of MD & CEO.

a) **Domestic (Inland) travel:** In case of customer events/ cultural meets and business promotional meetings at customers/ vendors/ business associates and collaborators end

- Spouse travel **once in a financial year** will be allowed for GM group personnel.
- Spouse travel **twice in a financial year** will be allowed for ED group and above.

No carry forward will be allowed

b) **International:** Spouse travel **once in a block of 3 financial years** will be allowed only for ED group and above for both official tour and customer meet etc. subject to prior approval of MD&CEO. No carry forward of blocks will be allowed.

18.7 In case of spouse travel with employee, 100% ticket expenses, food expenses shall be paid additionally on submission of bills as per entitlement of the employee. No other expenses will be paid.

18.8 All other employees are advised, in general, not to travel with spouse during official tour as a good professional practice.

18.9 The expenses on liquor and tobacco will not be permitted for claim under food expenses entitlement except entertainment of customer/ vendors/ business associates and collaborators which need to be approved by respective touring authority.

18.10 Employees are advised to book air tickets in advance to avoid ticket price increase. In case of expensive ticket (price increased by 15% or more than normal fare) booking due to short notice, employee need to take prior approval from respective ED/ Dy. ED / HOD.

18.11 Employees on business travel should maintain the highest norms with regard to dress, conduct etc. consistent with Company's values. Touring personnel should ensure strict observance of discipline. Highest standard of personal integrity should be ensured.

18.12 It is the moral responsibility of all the employees to optimize the travel cost wherever possible.

18.13 All hotel booking shall be made by the employees as per the entitlement, wherever administrative support is required, shall be given by the respective Administration department and Account Department will be responsible for smooth payment of all travel claims.

18.14 Income tax incidence, if any, wherever applicable, shall be borne by the employee.

18.15 Any modification in these rules may be made at the sole discretion of the Management.

18.16 These rules shall also be applicable to employees of SEL.

The above office order shall be effective	-	From	-	01.04.2025
		Till	-	Rescinded

O&P:

Accounts:

March 4, 2025

(S. KRISHNAKUMAR)
MD & CEO

The above proposal is hereby approved.

O.O. No. PNL/41/2025
DATE: 12/03/2025

(PRADEEP DINODIA)
CHAIRMAN

Copies to:
- ED (All Units)
- O&P /Administration (All Units)
- Accounts (All Units)

Annexure – I

Classification of Cities – Inland Travel

A Category Cities	B Category Cities
1. Ahmedabad 2. Bengaluru 3. Chennai 4. Delhi / NCR (Faridabad, Ghaziabad, Noida, Gurgaon etc.) 5. Kolkata 6. Mumbai 7. Pune 8. Coimbatore 9. Indore 10. Hyderabad 11. Mohali/ Chandigarh 12. Hosur (Tamilnadu) 13. Kathmandu	Other than A Category cities, all cities shall be considered as B Category cities.

Annexure – II

Hotel, Food Entitlement and Incidental Allowance – Inland Travel

Proposal/ Entitlement (excluding GST) per day – Domestic				
Designation	**Hotel Stay Entitlement (Actual upto)**	**Hotel Stay Entitlement (Actual upto)**	**Food Entitlement (Actual upto)**	**Incidental Allowance**
	A-Category	**B-Category**	**All Cities**	**All Cities**
	Rs./day	**Rs./day**	**Rs./day**	**Rs./day**
ED Group	10500	9000	2000	500
GM Group	9500	8000	1500	500
Manager - II to Sr. Mktg. Manager Group	9000	7500	1200	300
Dy. Manager/ Jt. Manager/ Jt. Sales Manager	3500	2800	1000	200
Assistant Manager	3000	2500	950	200
Sr. Sales Officer/ Sr. Service Engineer/ Sr. Executive/ Sr. Engineer	2500	2300	900	200
Sales Officer/ Executive/ Engineer/Service Engr.	2300	2100	850	200
ASO/ Asst. Executive/ Asst. Engr. / Asst. Service Engr., CET/GET/ SOT (1st & 2nd Yr.)	2100	1900	750	200
Sr. Sales Rep./ Sales Rep. / DET / Associates (HO) & Works Staff	1700	1500	600	200
Blue Collar/Peon/ Driver/ E-Coupon Coordinator	1300	1100	500	200

Note :– 1. Hotel & Food expenses shall be paid on actual and per day on submission of bills.
2. Food expenses shall be same for both A and B category cities as these are based on bills. No bills are required for Incidental Allowance.
3. The hotel and food expenses can be interchanged as long as the total expenses remain within the total expenses stated above. The food expenses should not exceed the 50% of hotel bill (excluding GST).

Annexure – III

Country Classification - International Travel

Country Classification	Countries Covered
A	North & South American countries, Europe, UK & Japan, Singapore and China & Hong Kong, Dubai.
B	Australia, New Zealand, Other Middle Eastern & African countries and Turkey, Nigeria and Rest of the World.

Hotel, Food Expenses, Local Travel and Incidental Allowance - International Travel

Designation	Hotel Rate	Food Expenses	Incidental Allowance	Local Travel	
	USD/day	USD/day	USD/day	USD/day	Total
Rates for A Class Countries					
ED Group	140	70	20	40	270
GM Group to Dy. Manager	90	70	20	40	220
Assistant Manager & Below	90	65	15	40	210
Rates for Rest of Countries					
ED Group	115	60	20	40	235
GM Group to Dy. Manager	70	55	20	40	185
Assistant Manager & Below	70	50	15	40	175